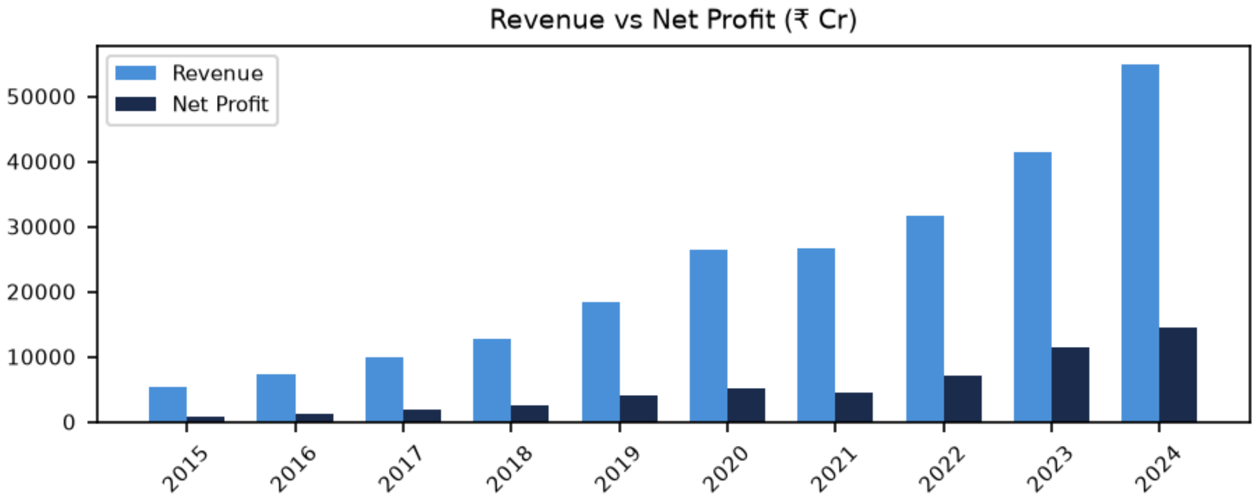
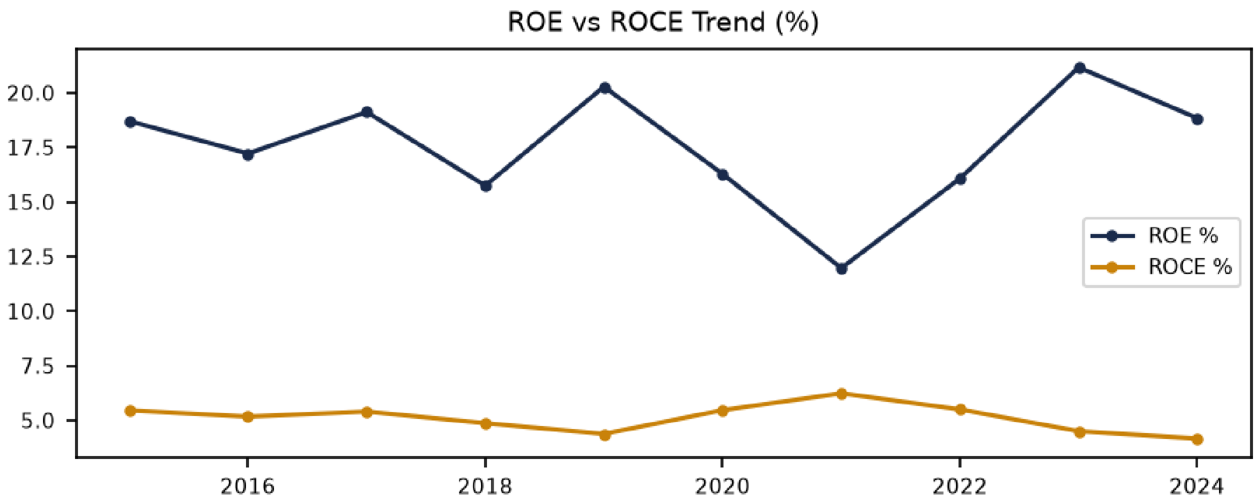
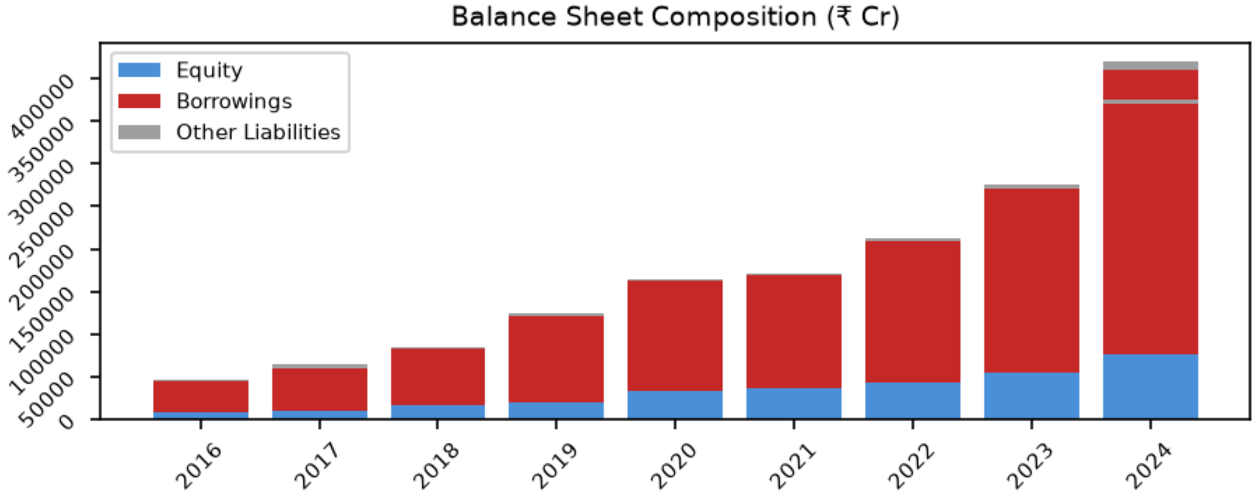
# Bajaj Finance Ltd

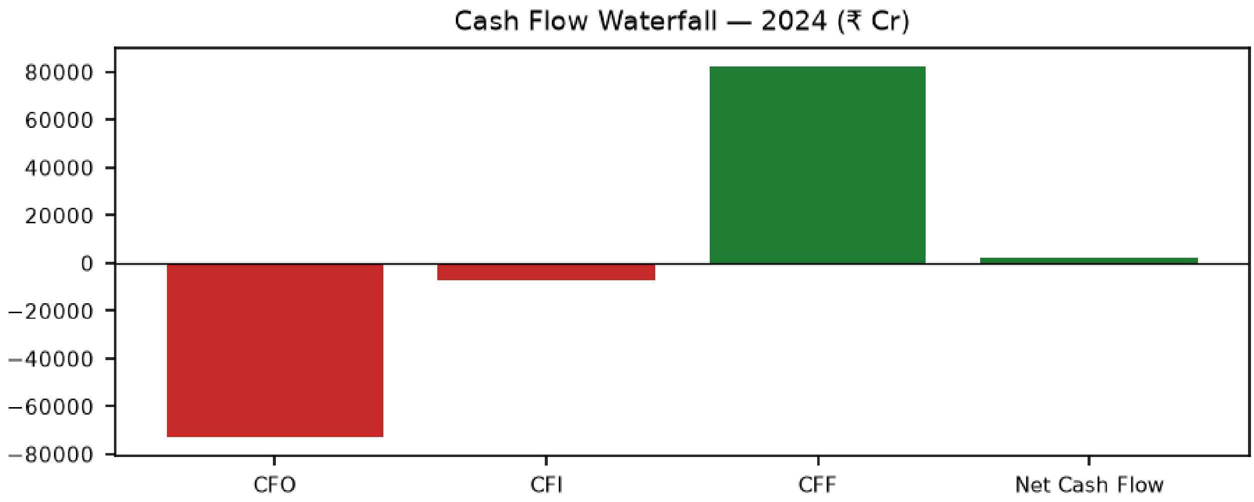
BAJFINANCE · Financials

| | | |
|---|---|---|
| ROE<br>18.8% | ROCE<br>4.2% | Net Profit Margin<br>26.3% |
| Debt-to-Equity<br>3.82 | Revenue CAGR (5yr)<br>24.4% | Free Cash Flow<br>■-79,931 Cr |






| ***Pros*** | ***Cons*** |
|---|---|
| ✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing | ✗ Free cash flow negative for 3 consecutive years raises concern about cash generation quality |
| ✓ Revenue growing slower than profits shows improving operating leverage and scale benefits | ✗ Gross debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility |
| ✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding | ✗ Operating margins declining for 3 consecutive years suggest pricing or cost pressure |
| ✓ Revenue growing at above 15% CAGR over 5 years reflects strong business momentum | ✗ Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital |
| ✓ Net profit compounding at above 20% over 5 years creates significant shareholder value | |
| ✓ Operating profit margin above 25% indicates strong pricing power and cost discipline | |

**Capital Allocation: Distress**